Module 9
Principles of Taxation

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS **(Total: 80 marks)**

Answer 1(a)

Under s.14 of the Inland Revenue Ordinance ("IRO"), a person is chargeable to profits tax if the following three conditions are satisfied:

1. The person must carry on a trade, profession or business in Hong Kong;
2. The profits to be charged must be from that trade, profession or business carried on by the person in Hong Kong (excluding capital gain); and
3. The profits must be profits arise in or derive from Hong Kong.

The source of the manufacturing profits is the place where the manufacturing operation is located. The arrangement between AT Limited and AR Limited is import processing where the manufacturing operations are carried out by AR Limited. AT Limited is engaged in the trading of raw materials and finished goods. AT Limited is a trader and not a manufacturer.

The Inland Revenue Department ("IRD") considers that the locations where the contracts of sale and purchase are effected are important factors for determining the source of trading profits. If either the sale contract or purchase contract is effected in Hong Kong, the initial presumption, subject to review of the totality of facts, will be that the profits are fully taxable. No apportionment of profits is applied to AT Limited.

Answer 1(b)

		HK$	HK$
Net profit per statement of comprehensive income			4,263,000
Less:	Profit on sale of patent	450,000	
	R&D expenditure further allowed [(HK$2M x 300% + HK$1.5M x 200%) – HK$3.5M]	5,500,000	(5,950,000)
			(1,687,000)
Add:	Tax appeals charges		80,000
	Receipt on sale of patent (restricted to cost)		400,000
	Special contributions to MPF (HK$400,000 x 4/5)		320,000
	Annual contributions to MPF in respect of Paul (HK$300,000 – HK$1,500,000 x 15%)		75,000
	Bank interest paid (HK$150,000 x 1/2)		75,000
	Loan to a customer written off		70,000
	Fines		15,000
	Refurbishment (HK$900,000 x 80% x 4/5)		576,000
	Refurbishment for first use showroom (HK$900,000 x 20%)		180,000
	Donations HK$(320,000 – 20,000)		300,000
	Depreciation		110,000
			514,000
Less:	Depreciation allowance of plant & machinery	170,000	
	Commercial building allowance HK$(1,200,000 + 180,000) x 4%	55,200	(225,200)
			288,800
Less:	Approved charitable donations – 35%		(101,080)
Assessable profit			187,720
Profits tax @ 8.25%			15,486
Less: Tax reduction			(6,000)
Profits tax payable			9,486

Answer 1(c)

A non-resident receiving income for the use of intellectual property rights in Hong Kong is deemed chargeable to Hong Kong profits tax under s.15(1)(b). Therefore, B Limited's royalties income was chargeable to Hong Kong profits tax even though it was not carrying on business in Hong Kong. As B Limited is an associate of AT Limited and the design was previously owned by a person in Hong Kong, 100% of the royalties income would be chargeable to Hong Kong profits tax, i.e., HK$2,000,000 (s.21A).

Answer 1(d)

Interest received on a US dollar fixed deposit placed with Hong Kong Bank.

Interest received on a US dollar fixed deposit placed with Hong Kong Bank is deemed taxable under s.15(1)(f) of the IRO because the Company is carrying on business in Hong Kong and the interest is sourced in Hong Kong by virtue of provision of credit test. Exemption from payment of profits tax by reason of Interest Exemption Order 1988 cannot be applied as the deposit is used to secure a loan borrowed from the Bank. The interest is taxable.

Answer 2(a)

John
Share option gain
Year of assessment 2022/23

	HK$	HK$
Market value at the time of exercise (100,000 x HK$32)		3,200,000
Less: Cost of option	20,000	
Cost of shares (100,000 x HK$10)	1,000,000	(1,020,000)
Share option gain		2,180,000
Share option gain chargeable to salaries tax (HK$2,180,000 x 120/365)		716,712

Answer 2(b)

John
Salaries tax
Year of assessment 2022/23
Basis period: year ended 31 March 2023

	HK$	HK$
Lump sum income		500,000
Salaries		1,800,000
Bonus		300,000
Overseas allowance		55,000
Foreign domestic helper		38,000
		2,693,000
Rental value HK$[(2,693,000 – 3,000) x 10%]	269,000	
Less: Rent suffered HK$(3,000 x 12)	(36,000)	233,000
		2,926,000
Share option gain		716,712
Total assessable income		3,642,712
Less: Subscription	3,000	
Self-education expense HK$(30,000 – 20,000)	10,000	(13,000)
Net assessable income		3,629,712
Less: Approved charitable donations	20,000	
Mandatory contribution to MPF scheme	18,000	
Qualifying annuity premiums	60,000	(98,000)
		3,531,712
Less: Married person's allowance	264,000	
Child allowance		
HK$(120,000 + 120,000 + 120,000)	360,000	(624,000)
Net chargeable income		2,907,712
Tax at progressive rate		
HK$[(2,907,712 – 200,000) x 17% + HK$16,000]		476,311
Tax at standard rate HK$(3,531,712 x 15%)		529,756
Salaries tax		476,311
Less: Tax reduction		(6,000)
Salaries tax payable		470,311

Answer 2(c)

Provision of local worker and foreign domestic helper

The local worker was employed by ME Limited. ME Limited's payment to the local worker is to discharge its own liability and provide no taxable benefit to Paul. Additionally, the benefit cannot be convertible into cash, hence the benefit is not taxable. However, the foreign domestic helper was employed by John. ME Limited's payment related to the foreign domestic helper is to discharge John's liability, and it is money's worth, and therefore the sum is taxable.

Answer 3(a)

Under s.64 of the IRO, the requirements of a valid objection against an assessment are:

(1) The objection must be lodged by the person assessed or his authorised representative in writing;
(2) The notice of objection must be received by the Commissioner of the Inland Revenue ("CIR") within one month from the date of issue of the notice of assessment;
(3) The notice of objection must state precisely the grounds of objection; and
(4) In case of an estimated assessment raised in the absence of a return, a properly completed return must be submitted with the notice of objection or within such further period as the CIR may allow.

However, if the person is prevented from giving notice of objection within the one-month period because:

(1) He was absent from Hong Kong;
(2) He was sick; or
(3) Any other reasonable cause.

The CIR may extend the one-month time limit for lodging an objection as may be reasonable given the circumstances.

Answer 3(b)

Under s.71(2) of the IRO, tax shall be paid on or before the due date notwithstanding any objection or appeal unless the CIR orders the hold-over of tax in dispute pending the determination of objection or appeal. There are two types of hold-over: conditional and unconditional. The CIR may order the tax be held-over on a condition that the taxpayer purchases a Tax Reserve Certificate or provides a banker's undertaking. In case any tax being held-over conditionally with banker's undertaking or unconditionally, becomes payable upon settlement of the objection, and the CIR is empowered to charge interest. The interest should be calculated from the original due date or the date of the holding-over order, whichever is later, to the date of settlement of the objection.

Answer 4

There are two separate transactions that will attract stamp duty: namely, the agreement for sale and purchase of the Property and the transfer of shares.

The agreement for sale and purchase ("ASP")

Ad valorem stamp duty ("AVD")
The actual consideration of the sale is not HK$20,000,000. The actual consideration is computed as follows:

HK$15,000,000 + HK$200 x 10,000 = HK$35,000,000

The ASP executed on 15 October 2022 is chargeable with AVD at the scale two rates as the Property is a non-residential property. The amount of AVD is computed as follows:

AVD = HK$35,000,000 x 4.25% = HK$1,487,500

Special stamp duty ("SSD")
SSD does not apply in the case of non-residential property.

Buyer's stamp duty ("BSD")
BSD does not apply in the case of non-residential property.

The transfer of shares

A transfer of 100,000 XYZ Limited shares and contract notes must be prepared and stamped.

Stamp duty is payable at 0.13% on HK$20,000,000 ($200 x 100,000) on both the bought note and sold note, and the stamp duty payable by each party is HK$26,000 each ($20,000,000 x 0.13%).

A fixed stamp duty of HK$5 must also be paid for each instrument of transfer that has to be stamped before execution.

Answer 5(a)

Kent and Karen
Property tax
Year of assessment 2022/23
Basis period: year ended 31 March 2023

	HK$
Rent (HK$25,000 x 12)	300,000
Premium (HK$36,000 x 12/24)	18,000
	318,000
Less: Rates paid by owner (HK$2,200 x 4)	(8,800)
	309,200
Less: 20% statutory deduction	(61,840)
Net assessable value	247,360

Answer 5(b)

Kent
Personal assessment
Year of assessment 2022/23

	HK$	HK$
Net assessable value (HK$247,360 x 1/2)		123,680
Net assessable income		300,000
Net assessable profit		50,000
		473,680
Less: Mortgage loan interest (HK$220,000 x 1/2)		(110,000)
		363,680
Less: Approved charitable donations (HK$363,680 x 35%)	127,288	
Home loan interest	100,000	
Mandatory contribution to MPF scheme	15,000	
Elderly residential care expense	100,000	
Qualifying annuity premiums	60,000	(402,288)
Excess		(38,608)
Business loss & c/f		(190,000)
Reduced total income		0

Answer 6(a)

Sun Limited
Depreciation allowance
Year of assessment 2022/23

	20% pool	30% pool	Total
	HK$	HK$	HK$
WDV b/f	29,000	22,000	
Less: Disposal proceeds	(50,000)*	(90,000)^	
Balancing charge	(21,000)	(68,000)	(89,000)

*restricted to cost
^market value

Answer 6(b)

Sun Limited
Profits tax computation
Year of assessment 2022/23
Basis period: 1 April 2022 – 30 September 2022

	HK$	HK$
Adjusted profit (HK$480,000 x 6/9)		320,000
Add: Relevant profit HK$(480,000 – 320,000)	160,000	
Less: Transitional amount 1.1.1975 – 31.3.1975 (HK$360,000 x 3/12)	(90,000)	70,000
		390,000
Add: Balancing charge		89,000
		479,000
Less: Refurbishment allowance (HK$200,000 x 1/5)		(40,000)
Assessable profits		439,000

* * * END OF EXAMINATION PAPER * * *